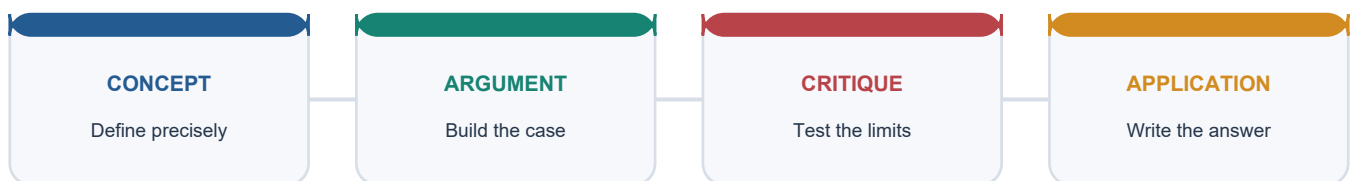


COMPLETE LEARNING SESSION

Economy Topic 26 - Economic Survey Synthesis and Current Macro Dashboard - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

Economy Topic 26 - Economic Survey Synthesis and Current Macro Dashboard - Solved Practice Workbook

Data cutoff: 9 September 2026.

All 32 MCQs precede PYQs. Correct options follow the exact sequence A-B-C-D repeated eight times. Every distractor has a substantive explanation and every question has a distinct trap. Current-data questions include source period and estimate status.

32 SOLVED MCQS

MCQ 01

Question: Which statement best describes the Economic Survey?

- A. It is an analytical, non-binding review of the economy
- B. It appropriates expenditure
- C. It is RBI's monetary-policy resolution
- D. It is the audited Union Finance Account

Correct answer: A

- **Option A:** The Survey diagnoses trends and advances policy arguments without itself authorising expenditure.
- **Option B:** Appropriation requires parliamentary legislation, not the Survey.
- **Option C:** The MPC resolution is an RBI document with a different mandate.
- **Option D:** Final Union accounts are produced through the government accounting and audit process.

Unique trap: Do not convert analysis into legal authority.

MCQ 02

Question: Which document-stage pairing is correct?

- A. Survey - final audited spending
- B. Budget Estimate - proposed amount for the coming year
- C. Revised Estimate - constitutional amendment
- D. CGA provisional account - forecast made before the year

Correct answer: B

- **Option A:** The Survey is not a final spending account.
- **Option B:** BE is the government's initial annual fiscal plan.
- **Option C:** RE is a revised fiscal estimate, not legislation.
- **Option D:** CGA provisional accounts record realised transactions after year-end.

Unique trap: Plan, revision and outturn are distinct.

MCQ 03

Question: Which is the complete minimum data-vintage tag?

- A. Indicator and value only
- B. Value, ministry and opinion
- C. Indicator, period, unit/base, release date, source and status
- D. Financial year and newspaper date

Correct answer: C

- **Option A:** A naked value cannot be safely updated or compared.

- **Option B:** An opinion does not replace period, unit or estimate status.
- **Option C:** These six fields make the evidence auditable and revision-safe.
- **Option D:** A newspaper date is not the official release and omits statistical status.

Unique trap: Metadata is part of the fact.

MCQ 04

Question: Which pair correctly identifies a stock and a flow?

- A. GDP stock; reserves flow
- B. CAD stock; external debt flow
- C. Fiscal deficit stock; exports stock
- D. Forex reserves stock; quarterly CAD flow

Correct answer: D

- **Option A:** GDP measures production over a period.
- **Option B:** CAD is a period flow and debt a point-in-time stock.
- **Option C:** Both deficit and exports are flows over periods.
- **Option D:** Reserves are dated assets while CAD accumulates during a quarter.

Unique trap: A ratio does not change the underlying stock-flow character.

MCQ 05

Question: MoSPI's 31 August 2026 release reported which correctly labelled figure?

- A. Q1 FY27 real GDP growth 7.8%, quarterly estimate, base 2022-23
- B. FY27 final GDP growth 7.8%, base 2011-12
- C. Calendar-2026 nominal GDP growth 7.8%
- D. Q1 FY27 GDP level equal to 7.8% of GVA

Correct answer: A

- **Option A:** The release gives Q1 FY27 year-on-year real growth under the new base.
- **Option B:** Neither the full year nor the old base describes the release.
- **Option C:** The period is April-June FY27 and the 7.8 figure is real growth.
- **Option D:** A growth rate is not a level or share.

Unique trap: Keep quarter, price basis, base year and estimate status together.

MCQ 06

Question: Why can real GDP and real GVA growth differ?

- A. GDP excludes taxes while GVA includes imports
- B. GDP adds product taxes and subtracts product subsidies from GVA
- C. GVA is always nominal
- D. Only GDP is revised

Correct answer: B

- **Option A:** The distinction is not about excluding all taxes or importing goods.
- **Option B:** Net product taxes bridge GVA at basic prices and GDP at market prices.
- **Option C:** Both aggregates can be presented at constant or current prices.
- **Option D:** Both GDP and GVA are revised.

Unique trap: A GDP-GVA gap is not automatically inconsistent data.

MCQ 07

Question: The Survey's 7.4% FY26 growth figure should be described as:

- A. A final audited outturn under base 2022-23
- B. A calendar-year growth rate
- C. A January 2026 First Advance Estimate under the then-current series
- D. An RBI projection for FY27

Correct answer: C

- **Option A:** The Survey preceded later revisions and rebasing.
- **Option B:** FY26 means April 2025-March 2026.
- **Option C:** This preserves the Survey's source vintage and estimate status.
- **Option D:** The RBI and FY27 are separate.

Unique trap: Do not silently upgrade FAE to actual.

MCQ 08

Question: What is the safest comparison after a base-year revision?

- A. Compare any old and new growth rates directly
- B. Use nominal values only
- C. Assume methodological changes have no effect
- D. Use an official linked/back series or clearly qualify the break

Correct answer: D

- **Option A:** Weights and methods can break comparability.
- **Option B:** Nominal series also change coverage and valuation.
- **Option C:** Method changes are central to rebasing.
- **Option D:** A bridge or explicit qualification preserves statistical validity.

Unique trap: Rebasing is not merely relabelling the year.

MCQ 09

Question: Q1 FY27 GFCF growth of 11.9% in the 31 August 2026 release indicates:

- A. Growth of fixed capital formation at constant prices, not proof of project quality
- B. The private investment share of GDP
- C. Completed public infrastructure only
- D. Capacity utilisation of every industry

Correct answer: A

- **Option A:** GFCF is a broad fixed-asset flow; execution and productivity require separate evidence.
- **Option B:** Growth is not a share and includes more than private investment.
- **Option C:** GFCF includes multiple institutional sectors.
- **Option D:** Capacity use is a different indicator.

Unique trap: Investment quantity does not settle investment quality.

MCQ 10

Question: Which sectoral reading is correct for Q1 FY27?

- A. Primary GVA led at 10%
- B. Tertiary GVA grew 10.0%, faster than primary GVA at 2.9%
- C. Agriculture contracted 3.6%
- D. All sub-sectors grew at the same rate

Correct answer: B

- **Option A:** The 10% figure belongs to tertiary GVA.
- **Option B:** MoSPI's 31 August release supports this dated comparison.
- **Option C:** Agriculture and allied grew 3.6%.
- **Option D:** Broad and detailed sectors diverged.

Unique trap: Broad-based growth must be demonstrated, not asserted.

MCQ 11

Question: What does the July 2026 IIP figure of 6.7% represent?

- A. Final annual industrial GVA
- B. A privately surveyed sentiment index
- C. A year-on-year Quick Estimate of industrial output, base 2022-23
- D. The weighted average of CPI and WPI

Correct answer: C

- **Option A:** IIP is monthly and distinct from GVA.
- **Option B:** PMI is the private diffusion survey.
- **Option C:** MoSPI labelled July IIP a Quick Estimate under the 2022-23 base.
- **Option D:** Price indices are not averaged into IIP.

Unique trap: IIP is a volume signal, not national-account value added.

MCQ 12

Question: Which statement about the revised core-industries series is correct?

- A. It is identical to the old eight-industry series
- B. It measures all manufacturing establishments
- C. Its July value was a final annual estimate
- D. The base-2022-23 ICI includes iron ore and July 2026 growth was provisional

Correct answer: D

- **Option A:** The revised architecture and weights differ.
- **Option B:** ICI covers selected upstream sectors.
- **Option C:** The 20 August release was monthly and provisional.
- **Option D:** This captures both the series change and status.

Unique trap: Do not import old 'eight core' weights into the revised series.

MCQ 13

Question: A PMI reading above 50 ordinarily means:

- A. More surveyed firms report improvement than deterioration under the diffusion formula
- B. Official industrial output grew above 50%
- C. Inflation exceeded the target
- D. Every surveyed firm expanded

Correct answer: A

- **Option A:** The threshold indicates direction among respondents.
- **Option B:** PMI level is not an output-growth percentage.
- **Option C:** It is not an inflation target measure.
- **Option D:** Some firms can report deterioration or no change.

Unique trap: PMI is private and directional.

MCQ 14

Question: Why should PMI be cross-checked with IIP?

- A. Both are final GDP estimates
- B. They differ in source, coverage and measurement: survey diffusion versus official output index
- C. IIP measures expectations only
- D. PMI is a fiscal variable

Correct answer: B

- **Option A:** Neither is final GDP.
- **Option B:** Their differing errors make triangulation useful.
- **Option C:** IIP measures recorded industrial volume.
- **Option D:** PMI is a business survey, not a budget item.

Unique trap: Agreement is evidence; disagreement is a diagnostic question.

MCQ 15

Question: Which statement correctly compares July 2026 CPI and WPI?

- A. Both use the same basket and base
- B. WPI is RBI's inflation target
- C. CPI was 4.45% provisional on base 2024, while WPI was 9.78% provisional on base 2022-23
- D. Their difference proves future CPI inflation

Correct answer: C

- **Option A:** Household and wholesale baskets differ.
- **Option B:** The inflation target is headline CPI.
- **Option C:** The two official releases require separate bases and dates.
- **Option D:** Pass-through is uncertain and lagged.

Unique trap: Never subtract unlike indices as if they were one basket.

MCQ 16

Question: A low base effect can produce:

- A. A lower index level with no rate effect
- B. A permanent increase in potential output
- C. A final unrevised estimate
- D. A high year-on-year rate despite modest recent momentum

Correct answer: D

- **Option A:** Base effects operate through the comparison denominator.
- **Option B:** Potential output needs structural evidence.
- **Option C:** Revision status is unrelated.
- **Option D:** A depressed year-ago level can inflate the annual rate.

Unique trap: Check level and sequential momentum.

MCQ 17

Question: What was the RBI policy repo decision on 5 August 2026?

- A. Held at 5.25% with a neutral stance
- B. Raised to 6.50% with tightening stance
- C. Cut to 4.00% and abandoned inflation targeting
- D. Fixed by the Finance Ministry

Correct answer: A

- **Option A:** The MPC unanimously held repo at 5.25% and retained neutral stance.
- **Option B:** This does not match the dated decision.
- **Option C:** Inflation targeting continued.
- **Option D:** The statutory MPC decides the repo rate.

Unique trap: Rate, stance and forecast are separate facts.

MCQ 18

Question: Which statement best distinguishes liquidity from monetary stance?

- A. Any liquidity injection proves a rate cut
- B. Liquidity operations manage reserves and market-rate transmission without automatically changing the stance
- C. Liquidity is identical to fiscal deficit
- D. Only currency demand affects liquidity

Correct answer: B

- **Option A:** Operational liquidity can change without policy-rate action.
- **Option B:** RBI tools manage short-term conditions around the policy framework.
- **Option C:** Fiscal accounts are separate.
- **Option D:** Government balances, forex and RBI operations also matter.

Unique trap: Operation is not objective.

MCQ 19

Question: RBI's 31 July 2026 bank-credit figure is best read as:

- A. New productive investment disbursed that fortnight
- B. Bank profitability
- C. An outstanding stock whose growth needs deposit, sector and quality context
- D. A current-account flow

Correct answer: C

- **Option A:** Outstanding credit includes earlier loans.
- **Option B:** Profitability is an income measure.
- **Option C:** Stock, funding and allocation must be read together.
- **Option D:** Credit is a domestic balance-sheet item.

Unique trap: Credit growth is not GDP growth.

MCQ 20

Question: Which is the soundest banking-health assessment?

- A. GNPA alone proves resilience
- B. Credit growth alone proves solvency
- C. Profit alone removes liquidity risk
- D. Asset quality, capital, provisions, profitability and stress tests must be combined

Correct answer: D

- **Option A:** Low GNPA can coexist with concentration or capital risk.
- **Option B:** Rapid credit can worsen future quality.
- **Option C:** Profitability and liquidity are distinct.
- **Option D:** A multi-indicator assessment captures buffers and vulnerabilities.

Unique trap: Avoid single-ratio banking conclusions.

MCQ 21

Question: Budget 2026-27's 4.3% fiscal-deficit figure is:

- A. A Budget Estimate ratio to GDP, not a realised outturn
- B. The audited FY26 deficit
- C. The primary deficit
- D. A state-government aggregate

Correct answer: A

- **Option A:** The February 2026 Budget sets a forward BE.
- **Option B:** FY26 outturn comes from CGA and later accounts.
- **Option C:** Primary deficit subtracts interest.
- **Option D:** The figure concerns the Union Budget.

Unique trap: Always attach BE/RE/Actual.

MCQ 22

Question: Which equation defines the primary deficit?

- A. Revenue expenditure minus capital receipts
- B. Fiscal deficit minus interest payments
- C. Debt minus GDP
- D. Capital expenditure minus revenue expenditure

Correct answer: B

- **Option A:** That does not define a standard deficit measure.
- **Option B:** Primary deficit removes inherited interest burden from fiscal deficit.
- **Option C:** Debt/GDP is a ratio, not primary balance.
- **Option D:** Spending composition is not the formula.

Unique trap: Deficit concepts differ by included receipts and expenditure.

MCQ 23

Question: Which statement correctly uses CGA FY26 accounts?

- A. They were Budget Estimates
- B. They were audited final accounts
- C. They were provisional/unaudited realised accounts released 1 June 2026
- D. They were Survey projections

Correct answer: C

- **Option A:** The year had ended, so they were not BE.
- **Option B:** The release explicitly retained provisional/unaudited status.
- **Option C:** This is the correct source-stage label.
- **Option D:** The Survey did not publish the cash outturn.

Unique trap: Provisional actual is closer to outturn but not final audit.

MCQ 24

Question: Budget 2026-27 capital expenditure of Rs 12.22 lakh crore proves:

- A. Every project was completed
- B. Private capex rose by the same amount
- C. Maintenance was fully funded
- D. Only an allocation; execution and asset productivity need separate evidence

Correct answer: D

- **Option A:** Budgeting does not complete assets.
- **Option B:** Union capex and private investment differ.
- **Option C:** Maintenance is generally revenue expenditure and needs separate analysis.
- **Option D:** Allocation is an input, not an outcome.

Unique trap: Capex quality requires lifecycle evidence.

MCQ 25

Question: RBI's Q1 FY27 CAD of USD 4.2 billion is:

- A. A period flow equal to 0.5% of GDP
- B. A reserve stock
- C. Total external debt
- D. The merchandise deficit alone

Correct answer: A

- **Option A:** The 1 September release gives a quarterly current-account flow.
- **Option B:** Reserves are point-in-time assets.
- **Option C:** External debt is a liability stock.
- **Option D:** CAD also includes services and income flows.

Unique trap: Current account is broader than goods trade.

MCQ 26

Question: Why is July 2026 services trade in the Commerce release qualified?

- A. It excludes services entirely
- B. July services values were estimated because latest RBI data were for June
- C. It is a fiscal-year stock
- D. It is an audited customs value

Correct answer: B

- **Option A:** The release includes estimated services.
- **Option B:** The footnote explicitly states the lag and estimation.
- **Option C:** Trade is a flow.
- **Option D:** Services are not customs-cleared goods.

Unique trap: Combined trade inherits mixed data status.

MCQ 27

Question: Which Q1 FY27 capital-flow combination is correct?

- A. FDI outflow 6.1 and FPI inflow 9.6
- B. Only reserves changed
- C. Net FDI inflow USD 6.1 billion and net FPI outflow USD 9.6 billion
- D. All inflows were grants

Correct answer: C

- **Option A:** The directions are reversed.
- **Option B:** The financial account had multiple components.
- **Option C:** RBI's 1 September 2026 release supports this contrast.
- **Option D:** FDI and FPI are investments, not grants.

Unique trap: Gross/net and inflow/outflow must be explicit.

MCQ 28

Question: Why can weekly reserve change differ from BoP-basis reserve change?

- A. One is always erroneous
- B. BoP excludes transactions
- C. Weekly reserves exclude gold
- D. Valuation and timing differ from recorded BoP transactions

Correct answer: D

- **Option A:** Different concepts can both be correct.
- **Option B:** BoP records transactions.
- **Option C:** Weekly total reserves include gold.
- **Option D:** Exchange-rate valuation and timing explain part of the gap.

Unique trap: Stock movement is not identical to transaction flow.

MCQ 29

Question: Which PLFS statement is correctly labelled?

- A. July 2026 all-India CWS age-15+ UR was 5.1%
- B. July 2026 usual-status annual UR was 5.1%
- C. WPR is unemployed divided by labour force
- D. LFPR excludes the unemployed

Correct answer: A

- **Option A:** The monthly bulletin supports this exact status and age group.
- **Option B:** Monthly PLFS here uses CWS.
- **Option C:** WPR is employed persons relative to population.
- **Option D:** Labour force includes employed and unemployed seekers/available persons.

Unique trap: Method, age and geography belong beside the rate.

MCQ 30

Question: A fall in unemployment is insufficient to prove better labour outcomes because:

- A. Employment data never matter
- B. Hours, earnings, status, security and participation may move differently
- C. WPR must always fall
- D. Self-employment is legally prohibited

Correct answer: B

- **Option A:** Employment indicators are essential but incomplete alone.
- **Option B:** Quality and participation complete the diagnosis.
- **Option C:** WPR can rise or fall independently.
- **Option D:** Self-employment is a major labour status.

Unique trap: Quantity and quality must be separated.

MCQ 31

Question: Which classification is most defensible?

- A. CPI is always leading
- B. Final GDP is high-frequency
- C. PMI new orders may lead, IIP may be coincident, and final labour outcomes often lag
- D. Reserves are a lagging flow

Correct answer: C

- **Option A:** CPI usually confirms realised price change.
- **Option B:** Final GDP arrives with a lag.
- **Option C:** The timing logic is plausible but context-dependent.
- **Option D:** Reserves are a stock.

Unique trap: Indicator timing is empirical, not immutable.

MCQ 32

Question: What does macro triangulation require?

- A. Averaging every series
- B. Using only the newest release
- C. Ignoring conflicting signals
- D. Testing one claim across independent series with different coverage and errors

Correct answer: D

- **Option A:** Unlike indicators cannot be mechanically averaged.
- **Option B:** Newest does not mean comprehensive.
- **Option C:** Divergence can contain information.
- **Option D:** Independent measures reduce single-source error.

Unique trap: Triangulation is structured comparison, not data piling.

PYQS AND EXAM APPLICATION

VERIFIED MAINS PYQ - 2021 GS-III - 15 MARKS

Question: Do you agree that the Indian economy has recently experienced V-shaped recovery? Give reasons in support of your answer. Answer in 250 words.

Model solution: A V-shaped recovery describes a sharp output contraction followed by a rapid rebound. India's real GDP fell 23.9% year-on-year in Q1 FY21, contracted 7.5% in Q2, and returned to growth of 0.5% and 1.6% in Q3 and Q4. High-frequency indicators such as electricity demand, rail freight, GST collections and steel consumption also recovered. This supports the V description for aggregate output momentum. However, the low comparison base magnified subsequent growth rates. Estimate vintage matters: NSO's May 2021 provisional estimate showed a 7.3% FY21 contraction, later revised in January 2022 to 6.6%. Moreover, aggregate GDP concealed a K-shaped distribution: contact-intensive services, informal workers, women and younger workers recovered more slowly, while self-employment and insecure work increased. Therefore, India experienced a V-shaped aggregate-output recovery, but not a uniform recovery in employment, incomes or sectors. The correct conclusion is qualified agreement, backed by dated quarterly levels, revision status and labour evidence.

VERIFIED OBJECTIVE ROUTE - 2019 PRELIMS GS-I Q3

Question: The Global Competitiveness Report is published by which institution?

- A. International Monetary Fund B. United Nations Conference on Trade and Development C. World Economic Forum
D. World Bank

Concept answer: World Economic Forum. **Official-key discipline:** the authoritative UPSC key PDF is not held in the verified local set, so this package does not claim an independently verified official answer letter. The WEF discontinued the specific annual Global Competitiveness Report/Index after 2019-20; IMD's World Competitiveness Ranking is a different publication.

ORIGINAL MAINS PRACTICE

MAINS 1 - 10 MARKS

Question: Distinguish the Economic Survey from the Union Budget and explain how each should be used in a UPSC answer. Answer in 150 words.

Native-body ceiling: 150 words under the required alphanumeric regex; independently measured after generation.

Model answer:

The Economic Survey is the Finance Ministry's annual analytical review of economic performance, constraints and policy options. It interprets official evidence and may recommend reforms, but it neither imposes taxes nor authorises expenditure. The Union Budget is the government's constitutional fiscal proposal: it presents receipts, expenditure, borrowing, Budget Estimates and Revised Estimates, followed by Finance and Appropriation legislation. Therefore, a UPSC answer should cite the Survey for diagnosis, trends and arguments, while using Budget documents for allocations and fiscal intentions and CGA accounts for realised outturn. For example, Survey 2025-26's FY26 growth figure was a First Advance Estimate, whereas Budget 2026-27's 4.3% fiscal deficit was a BE. Neither should be called a final outcome. The analytical spine is status, evidence, mechanism and implementation.

MAINS 2 - 10 MARKS

Question: Why is a data-vintage protocol indispensable for a current macroeconomic dashboard? Answer in 150 words.

Native-body ceiling: 150 words under the required alphanumeric regex; independently measured after generation.

Model answer:

A macro dashboard combines series released at different frequencies, bases and stages. Without a vintage protocol, an analyst may compare a financial-year flow with a calendar-year stock, an advance estimate with an audited actual, or old-base GDP with a rebased series. Each number should therefore carry six tags: indicator, reference period, unit or base, release date, source and status. This makes revision visible and permits safe updating. Survey 2025-26's 7.4% FY26 GDP growth was a January 2026 First Advance Estimate under the then-current series; MoSPI's 31 August 2026 Q1 FY27 growth of 7.8% used base 2022-23. Both are valid in context but not mechanically comparable. The protocol converts data from decoration into auditable evidence and forces the conclusion to remain proportionate.

MAINS 3 - 15 MARKS

Question: Construct a six-box dashboard to assess India's macroeconomic stability as of 9 September 2026. Answer in 250 words.

Native-body ceiling: 250 words under the required alphanumeric regex; independently measured after generation.

Model answer:

A balanced dashboard should cover growth, prices, fiscal policy, finance, the external sector and inclusion. Growth was firm: MoSPI's 31 August quarterly estimate, base 2022-23, placed Q1 FY27 real GDP growth at 7.8% and real GVA at 8.2%, with GFCF growth at 11.9%. Prices were less uniform: July CPI inflation was 4.45% on the new 2024 base, while provisional WPI inflation was 9.78% on base 2022-23, indicating producer-cost pressure without proving future retail pass-through. Fiscal policy combined consolidation and investment: Budget 2026-27 BE put the deficit at 4.3% of GDP and capex at Rs 12.22 lakh crore; FY26 CGA accounts remained provisional. RBI held repo at 5.25%

with a neutral stance on 5 August. Credit growth was strong, while the Survey's latest banking-health figures were dated September 2025. Externally, Q1 FY27 CAD was 0.5% of GDP, reserves were USD 740.803 billion on 28 August, and external debt was 20.8% of GDP at end-March. July PLFS CWS showed LFPR 55.4%, WPR 52.5% and UR 5.1%. The picture is resilient but exposed to WPI pressure, global oil, monsoon, trade and revision risks.

MAINS 4 - 15 MARKS

Question: How should contradictory macroeconomic signals be interpreted rather than averaged away? Answer in 250 words.

Native-body ceiling: 250 words under the required alphanumeric regex; independently measured after generation.

Model answer:

Contradictory signals often arise because indicators cover different baskets, sectors, populations, stages and periods. The analyst should first align metadata, then ask whether the divergence reflects transmission lags, base effects, composition or genuine weakness. July 2026 CPI inflation was 4.45%, while WPI inflation was 9.78%; different bases and retail-versus-wholesale coverage mean the gap may signal pipeline costs rather than an arithmetic inconsistency. Q1 FY27 real GDP grew 7.8%, but primary-sector GVA grew 2.9% against tertiary growth of 10.0%, revealing uneven sector momentum. Similarly, strong credit-stock growth does not prove equal productive investment because allocation and asset quality matter. A sound method triangulates GDP/GVA with GFCF, IIP, ICI, trade, credit and labour indicators; distinguishes levels from rates and stocks from flows; and searches for a causal channel. Divergence should produce a qualified diagnosis and a next-data check, not cherry-picking or a synthetic average.

MAINS 5 - 20 MARKS

Question: Assess the Economic Survey 2025-26 argument that India must combine macro stability with productivity, state capacity and strategic indispensability. Answer in 250 words.

Native-body ceiling: 250 words under the required alphanumeric regex; independently measured after generation.

Model answer:

Economic Survey 2025-26 portrays stability as a platform, not the final growth strategy. Its January 2026 snapshot combined 7.4% FY26 real GDP growth in the First Advance Estimate, low stated-period inflation, fiscal consolidation, stronger bank balance sheets and external buffers. The Survey then shifted attention to potential growth: manufacturing scale, logistics, skills, health and education, urban systems, AI, climate resilience, deregulation and implementation capacity. Its concept of strategic resilience emphasises absorbing external shocks; strategic indispensability goes further by making Indian capabilities valuable and difficult to substitute in global networks. This avoids equating self-reliance with isolation. The argument is persuasive because stable prices, finance and public debt create room for long-horizon private investment, while capable states reduce transaction costs and deliver infrastructure and human capital. Yet recommendations must be tested against Centre-State execution, competition, environmental safeguards, job quality and fiscal opportunity cost. Survey projections also predate later rebasing and releases. The appropriate strategy is outward-oriented capability building with disciplined regulation and measurable outcomes, not protection without sunset or data-driven review.

MAINS 6 - 20 MARKS

Question: Design a revision-safe current macro dashboard for policymakers and UPSC candidates. Answer in 250 words.

Native-body ceiling: 250 words under the required alphanumeric regex; independently measured after generation.

Model answer:

A revision-safe dashboard should separate a permanent concept layer from replaceable current cells. Each cell records indicator, reference period, unit or base, release date, official source and status, followed by trend, cause, counter-signal, risk and next update. The growth box uses GDP, GVA, expenditure and sector composition; prices use CPI, food/core decomposition and WPI; fiscal uses BE, RE, CGA outturn, deficit composition, capex and debt; monetary-financial uses policy rate, liquidity, deposits, credit, asset quality and capital; external uses trade, CAD, capital flows, reserves, debt and exchange rate; inclusion uses PLFS, earnings, consumption and social outcomes. High-frequency indicators such as IIP, ICI, freight or PMI support nowcasting but cannot replace structural evidence.

Automated checks should block mixed financial/calendar years, stock-flow substitution, old/new base comparisons and unlabeled projections. Contradictory signals trigger decomposition rather than averaging. The dashboard preserves historical vintages, links every update to its official release and ends with a qualified policy inference. This structure keeps static theory reusable while allowing current facts to change safely.

FINAL PRACTICE CHECKLIST

- Did every current fact carry period, release date, source and status?
- Did the answer separate Survey argument, Budget proposal and realised outturn?
- Did it avoid old/new base splicing and stock-flow confusion?
- Did it add a counter-signal, risk or revision caveat?
- Did it end with a qualified policy judgement rather than a data dump?